

Housing Economics: An Introduction

ECON 490

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Slides Overview

In these slides, we'll cover:

1. Why economists care about housing
2. What determines housing prices
3. Why housing in Orange County costs so much

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Why Do Economists Care About Housing?

- **Largest purchase** most people will make
- Major store of **household wealth** (for those who own)
- Key determinant of **where people live and work**
- Heavily influenced by **government policy**

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What Determines Housing Prices?

If you ask 5 Californians why housing is expensive, you might get 5 different answers

- Overall demand/CA's large population
- Amenities like weather/beaches
- Macro factors (e.g., interest rates)

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The Basic Economics of Housing Prices

Demand Side:

- Population growth/decline, changes to income, etc.
- Interest rates (cheaper borrowing = more buyers)
- Preferences (people like warm weather)

Supply Side:

- Available land
- Construction costs
- Regulation (zoning, permits, environmental review)

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Let's Think About Supply

Question: If housing demand increases in a city, what happens to prices?

The answer depends on the **elasticity** of housing supply

- **Elastic supply:** Builders can easily build new homes → prices stay relatively stable
- **Inelastic supply:** Hard to build new homes → prices rise

California has relatively inelastic housing supply

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Three Types of Housing Markets

From the journal article we'll read, define three archetypes:

1. **Declining cities** (e.g., *Detroit*)
 - Lots of old housing stock, falling demand
 - Prices often below construction costs
2. **Elastic cities** (e.g., *Houston, Atlanta*)
 - Plenty of land, few building restrictions
 - Prices stay close to construction costs
3. **Inelastic/regulated cities** (e.g., *San Francisco, LA, Orange County*)
 - High demand + restricted supply = high prices

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Orange County as an Example

Median home price in Orange County (2026): roughly \$1.25 million

Physical cost to build a house: roughly \$200-300 per square foot for construction

- For a 2,000 sq ft home, that's maybe \$400-600K in construction costs

So where does the other \$650K+ come from?

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Price Gap as Regulatory Tax

\$650k+ price gap reflects several factors

- **Zoning restrictions:** Limits on what can be built where
- **Environmental review:** California's CEQA adds time and cost
- **Local opposition:** Existing homeowners often fight new development
- **Land scarcity:** Ultimately, available land is bounded in OC... but density is a policy choice

In economic terms, we'd say there's a large **regulatory tax** on housing in CA.

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Not in My Backyard (NIMBY)

If high housing costs are bad, why don't we just build more?

Existing homeowners benefit from restricted supply

- Your home value goes up when fewer homes get built

New development brings traffic, noise, "neighborhood character" changes

- Opponents of new construction are often called NIMBYs
- Homeowners vote; potential future residents don't

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Next Week

Assigned journal article covers:

- Framework for measuring housing regulation
- Evidence on which cities are most restricted
- Estimates of the economic costs of housing restrictions

Read the Glaeser and Gyourko article, specifically:

- Introduction section (first 3 pages) laying out general questions/analysis
- Two important sections:
 - "Variations in Regulations on Land Use and Building"
 - "A Closer Look at Three Types of Markets"
- You should be able to describe how demand shifts affect prices in each market type

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